



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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BUSINESS STUDIES

6897/02

Paper 2

SPECIMEN 2027-2029

1 hour 30 minutes

Candidates answer on the question paper.
Additional material: calculator

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number in the spaces provided.
Write in dark blue or black pen.
Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Answer **all** questions.
The businesses described in this question paper are entirely fictitious.
The number of marks is given in brackets [] at the end of each question or part question.

All questions are worth equal marks.
The total mark for this paper is 80.

For Examiner's Use	
1	
2	
3	
4	
Total	

STREET SWAG

Street Swag is a clothing outlet in Nhlangoane that produces printed t-shirts for different market segments. The business is owned by Kev. The business is growing fast and Kev is planning to form a partnership with his brother Eric. However, Eric has advised Kev to convert the business into a close corporation.

Street Swag employs more than fifty workers. Kev is in charge of the daily operations of the business. The business uses both financial rewards and non-financial reward to motivate employees. Kev uses an autocratic leadership style. He believes this is the best style to use when managing workers.

Kev has decided to open two more branches to allow the business to enjoy economies of scale. He supports the objectives of the Southern African Development Community (SADC) and he wants to take advantage of existing free trade agreements.

The Government has raised concerns about the external costs resulting from some of the businesses which operate at Nhlangoane. The Government is also aware of the external benefits which are associated with these businesses. Kev is worried that the Government might introduce penalties to reduce the external costs of business activity.

APPENDIX 1

Press Statement from the Environmental Authority

Notice to all businesses

The authority has noticed with great concern how businesses neglect to take responsibility of their surroundings. This has led to led to serious environmental damage.

Businesses found not following laid down policy on environmental protection will be heavily fined.

APPENDIX 2

Notice to convert business to a close corporation

To: Registrar of companies

This serves to notify your office of intention to convert the Street Swag business into a close corporation.

One member has agreed to invest in the business to become part-owner. Attached are the necessary documents

APPENDIX 3

Financial Information from Street Swag for (2025- 2026)

Items (E)	2025	2026
Annual fixed costs	12 000	18 000
Average variable cost	90	50
Selling price per unit	150	170

1 Street Swag is a clothing outlet that produces printed t-shirts for different market segments.

(a) Explain **two** ways in which Street Swag can segment its market.

Way 1

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Explanation

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Way 2

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Explanation

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[8]

(b) Do you think that operating as a close corporation will be a good business decision? Justify your answer.

This image shows a full page of white paper designed for handwriting practice. It features approximately 20 evenly spaced horizontal dotted lines running across the entire width of the page. There are no margins, text, or other markings present.

[12]

2 The business uses both financial rewards and non-financial rewards to motivate employees.

- (a)** Explain **one** financial reward and **one** non-financial reward that could be used by Street Swag.

Financial reward

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Explanation

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Non-financial reward

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Explanation

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3 Kev has decided to open two more branches to allow the business to enjoy economies of scale.

(a) Explain **two** types of economies of scale that Street Swag could benefit from as it expands.

Economies of scale 1

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Explanation

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Economies of scale 2

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Explanation

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[8]

(b) Do you think free trade agreements benefit businesses like Street Swag? Justify your answer.

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[12]

- 4 The Government is concerned about the external costs and external benefits of the businesses operating at Nhlangano.

(a) Explain **one** external cost and **one** external benefit that could result from the operation of Street Swag.

External cost

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Explanation

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External benefit

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Explanation

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[8]

Refer to **appendix 3** that shows Street Swag's financial information.

- (b) Calculate the business's break-even quantity for 2025 and 2026 and advise Kev if the business will be able to generate enough profit to finance its growth.

2025 BEP

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2026 BEP

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Evaluation

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